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Quick-Commerce Expansion and FMCG Financial Performance

A Comparative Descriptive Analysis of Marico, Dabur, and Hindustan Unilever (FY2020–FY2025)

YOUTH ECONOMY LAB — COMPUTATION / FINANCIAL MODELING TRACK · CAPSTONE PROJECT

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Abstract

Quick commerce platforms — Blinkit, Zepto, and Swiggy Instamart — have scaled rapidly across India's e-grocery market since 2022. This paper examines whether that shift coincides with measurable changes in profitability and working capital efficiency at three major FMCG firms — Marico, Dabur, and Hindustan Unilever — using consolidated annual report data from FY2020 to FY2025. Working capital metrics (DIO, DSO, DPO, CCC), profitability margins (gross, operating, net), and return/efficiency metrics (ROCE, ROA, revenue growth) are calculated on an average-balance basis and compared across a pre-quick-commerce period (FY2020–FY2022) and a post-acceleration period (FY2024–FY2025), with FY2023 treated separately as a transition year. The analysis is descriptive and comparative, not causal: with company financial statements as the primary data source, this study cannot and does not claim that quick commerce caused any shift it finds. The results show divergence rather than convergence: Marico improved margins and compressed its cash cycle even as receivables lengthened; Dabur's cycle compression was payables-financed while its margins declined; and HUL held margins while its structurally negative cycle became less negative. The shifts most consistent with a channel-mix association are the sustained DSO rises at Marico and HUL and Dabur's supplier-financed compression; margin, returns and growth movements are over-determined by input costs, the demand cycle and M&A. All findings are directionally robust to reclassifying FY2023 into the post-period (Sections 8–10).

1. Project Design

1.1 Research Question

Has the rapid expansion of quick commerce platforms (Blinkit, Zepto, Swiggy Instamart) coincided with measurable changes in profitability and working capital efficiency among major Indian FMCG companies?

Sub-questions:

- Working capital: Did DIO, DSO, DPO, and Cash Conversion Cycle (CCC) shift between the pre- and post-quick-commerce periods?
- Profitability & returns: Did gross margin, operating/EBITDA margin, net margin, ROCE, and ROA shift?
- Growth: Did revenue growth rates change meaningfully across the two periods?
- Cross-company: Did Marico, Dabur, and HUL respond similarly, or did one appear more resilient or better positioned?

1.2 Hypothesis

The expansion of quick commerce may be associated with changes in FMCG companies' inventory requirements, distribution economics, channel mix, and pricing dynamics, which in turn could show up in working capital cycles and profitability metrics. This is framed as a directional, associative hypothesis rather

than a causal claim — with company financial statements as the only data source, isolating quick commerce from other factors affecting these firms (input costs, pricing decisions, acquisitions, general macro conditions) is not possible. The study is designed so that a mixed or null result is still a valid and useful outcome.

1.3 Scope & Data

Companies: Marico, Dabur, Hindustan Unilever

Period: FY2020–FY2025

- FY2020–FY2022 → Pre-quick-commerce period
- FY2023 → Transition / acceleration-onset year (reported in the full time series but excluded from both period averages; see 2.4)
- FY2024–FY2025 → Post-acceleration period (primary post-period comparison)

This staging reflects how quick commerce actually scaled in India rather than an arbitrary midpoint. Zomato's acquisition of Blinkit closed in June 2022, giving it a stronger capital base for dark-store expansion, and Zepto scaled its city coverage through 2022–2023. Because FY2023 (April 2022–March 2023) straddles this scaling period, it is treated as a transition year: shown in the full time series but held out of the main FY2020–22 vs FY2024–25 comparison. A sensitivity check using FY2020–22 vs FY2023–25 (i.e., including FY2023 in the post-period) is also reported, to show whether the main conclusion depends heavily on how FY2023 is classified.

By calendar year 2024, quick commerce accounted for over two-thirds of all e-grocery orders in India and roughly one-tenth of total e-retail spending, up from a much smaller base in 2022 (Bain & Company / Flipkart, "How India Shops Online 2025" report, cited in Reuters, March 27, 2025). This is the only market-level statistic used to justify the acceleration cutoff; it is cited to a single traceable report rather than to an unsourced aggregate figure.

Data Sources:

- Company consolidated annual reports (primary) — Consolidated Financial Statements
- Investor presentations
- Earnings call transcripts
- Secondary industry sources for market-level context on quick commerce growth (cited individually — see References)

2. Methodology

2.1 Data Dictionary

Marico, Dabur, and HUL do not always label balance-sheet and P&L line items identically. The mapping below is fixed before any ratio is calculated and applied consistently across all three companies and all six fiscal years. The exact annual-report source and page reference for every observation is maintained in the underlying dataset (data/raw_sourced_table.csv), not reproduced here for length.

Variable	Marico — Annual Report Line Item	Dabur — Annual Report Line Item	HUL — Annual Report Line Item
Inventory	"Inventories" (Note: Inventories), Consolidated Balance Sheet	"Inventories" (Note: Inventories), Consolidated Balance Sheet	"Inventories" (Note: Inventories), Consolidated Balance Sheet
Receivables	"Trade Receivables", Consolidated Balance Sheet	"Trade Receivables", Consolidated Balance Sheet	"Trade Receivables", Consolidated Balance Sheet
Payables	"Trade Payables" (total, incl. MSME + others), Consolidated Balance Sheet	"Trade Payables" (total, incl. MSME + others), Consolidated Balance Sheet	"Trade Payables" (total, incl. MSME + others), Consolidated Balance Sheet
Revenue	"Revenue from Operations", Consolidated Statement of P&L	"Revenue from Operations", Consolidated Statement of P&L	"Revenue from Operations", Consolidated Statement of P&L
COGS	Cost of materials consumed + Purchases of stock-in-trade + Changes in inventories of FG/WIP/stock-in-trade	Cost of materials consumed + Purchases of stock-in-trade + Changes in inventories of FG/WIP/stock-in-trade	Cost of materials consumed + Purchases of stock-in-trade + Changes in inventories of FG/WIP/stock-in-trade
Gross Profit	Revenue from Operations – COGS (as defined above; not a company-reported single line)	Revenue from Operations – COGS (as defined above; not a company-reported single line)	Revenue from Operations – COGS (as defined above; not a company-reported single line)
EBITDA	Profit before exceptional items and tax + Finance costs + Depreciation & amortisation – Other income (non-operating)	Profit before exceptional items and tax + Finance costs + Depreciation & amortisation – Other income (non-operating)	Profit before exceptional items and tax + Finance costs + Depreciation & amortisation – Other income (non-operating)
EBIT	EBITDA – Depreciation & amortisation	EBITDA – Depreciation & amortisation	EBITDA – Depreciation & amortisation
Net Profit	"Profit for the year" attributable to owners of the company, Consolidated P&L	"Profit for the year" attributable to owners of the company, Consolidated P&L	"Profit for the year" attributable to owners of the company, Consolidated P&L
Capital Employed	Total Assets – Current Liabilities, Consolidated Balance Sheet	Total Assets – Current Liabilities, Consolidated Balance Sheet	Total Assets – Current Liabilities, Consolidated Balance Sheet
Total Assets	"Total Assets", Consolidated Balance Sheet	"Total Assets", Consolidated Balance Sheet	"Total Assets", Consolidated Balance Sheet

Where gross profit or EBITDA is not reported as a single company line item, the consistent computed version defined above is used for all three companies rather than each company's own presentation, so the comparison stays like-for-like.

2.2 Financial Framework

All ratios are calculated on an average-balance basis (opening + closing ÷ 2) for stock variables, which is more defensible than a year-end-only snapshot for DIO, DSO, DPO, ROA, and ROCE. Where FY2020 opening balances are not available from a company's own FY2020 report, the FY2020 observation for that ratio would be flagged as closing-balance-only in the dataset, with the average-balance series proper beginning FY2021. In the final dataset this fallback was not required: FY2019 closing data was obtained and verified for all three companies, so every FY2020 observation uses a true average-balance basis.

Metric	Formula (average-balance basis)	Fallback if opening balance unavailable
Days Inventory Outstanding (DIO)	Average Inventory $\div$ COGS $\times$ 365, where Average Inventory = (Opening + Closing Inventory) $\div$ 2	FY2020 uses closing-balance-only inventory (documented); ratio series otherwise begins FY2021 on a full average basis
Days Sales Outstanding (DSO)	Average Trade Receivables $\div$ Revenue $\times$ 365	Same fallback as above
Days Payable Outstanding (DPO)	Average Trade Payables $\div$ COGS $\times$ 365	Same fallback as above
Cash Conversion Cycle (CCC)	DIO + DSO – DPO	Inherits fallback from components
Gross Margin	Gross Profit $\div$ Revenue	Not applicable — flow-statement based
Operating / EBITDA Margin	EBITDA $\div$ Revenue	Not applicable
Net Margin	Net Profit $\div$ Revenue	Not applicable
Return on Capital Employed (ROCE)*	EBIT $\div$ Average Capital Employed, where Average Capital Employed = (Opening + Closing) $\div$ 2	FY2020 uses closing-balance-only; documented and sensitivity-checked
Return on Assets (ROA)	Net Profit $\div$ Average Total Assets	Same fallback as above
Revenue Growth	(Revenue _t – Revenue _{t-1}) $\div$ Revenue _{t-1}	Not applicable

*ROCE here is a project-defined computed metric (EBIT $\div$ average capital employed) and is kept distinct from any ROCE figure a company reports directly in its own annual report or investor materials, since disclosed ROCE definitions vary by company.

2.3 Analytical Approach

1. Extract financial data for each company across FY2020–FY2025 from Consolidated Financial Statements only, recording the exact source and page reference for every line item pulled.
2. Compute all metrics in 2.2 using Python (pandas, NumPy), applying the data dictionary in 2.1 identically across companies.
3. Compare pre-period averages (FY2020–22) vs post-period averages (FY2024–25) as the primary comparison, plus a FY2020–22 vs FY2023–25 sensitivity check, and cross-company differences.
4. Report the pre-period year-on-year variation (FY2020–22) for each metric as descriptive context — not as a statistical significance test — alongside the absolute and percentage pre-to-post shift.
5. Visualize trends using six decision-useful charts.
6. Interpret results against company disclosures and the confounder timeline in 2.5, being explicit about correlation vs. causation throughout.

2.4 Benchmark

Each company's pre-period average (FY2020–22) serves as the baseline against which the post-period (FY2024–25) is compared, with FY2023 reported separately as a transition year. To give the post-period shift some descriptive context, the year-on-year variation within the pre-period (FY2020–22) is also calculated for each metric. With only three pre-period years, this yields two year-on-year moves — too few to support a claim of statistical significance, and this study does not make that claim. Instead, the pre-period range is reported purely as a descriptive benchmark: if the FY2024–25 shift is larger than the observed pre-period swing, that is treated as a more notable change worth flagging for interpretation, not as statistically confirmed. The primary quantities reported are the absolute and percentage pre-to-post shift for each metric. Cross-company comparison is then used to see whether Marico, Dabur, and HUL moved in the same direction or diverged.

2.5 Confounder / Event Timeline

FMCG financial performance is shaped by many factors beyond any single distribution channel. The timeline below lays out, year by year, both the quick-commerce developments and the other major confounding conditions (COVID-19 disruption, input-cost inflation, demand cycles) that coincide with the study window, so that any observed shift can be read against the full context rather than attributed by default to quick commerce.

Fiscal Year	Quick-Commerce Development	Other Confounding Events / Conditions
FY2020(Apr'19 –Mar'20)	Quick commerce not yet a material channel in India.	COVID-19 onset in the final quarter; initial demand and supply-chain disruption begins.
FY2021(Apr'20 –Mar'21)	Early-stage grocery delivery apps operating at small scale.	COVID-19 lockdowns; pantry-loading demand spikes; input-cost and logistics disruption.
FY2022(Apr'21 –Mar'22)	Blinkit (formerly Grofers), Zepto (launched 2021) and Instamart begin scaling dark-store networks.	Continued pandemic disruption; rising commodity and packaging input costs industry-wide.
FY2023(Apr'22 –Mar'23) — transition year	Zomato acquires Blinkit (June 2022), giving it a stronger capital base for dark-store expansion; Zepto scales rapidly through the year. Treated as a transition/acceleration-onset year rather than a clean post-period year.	High retail inflation through 2022; input-cost pressure on FMCG margins; general post-pandemic demand normalisation.
FY2024(Apr'23 –Mar'24)	Continued dark-store expansion and geographic scale-up by all three major platforms.	Easing input-cost inflation; category-level demand recovery.
FY2025(Apr'24 –Mar'25)	Quick commerce accounts for over two-thirds of India's e-grocery orders and roughly 10% of total e-retail spend in calendar 2024, per Bain & Company / Flipkart (2025).	Continued competitive intensity among Blinkit, Zepto and Instamart; possible category and channel-mix shifts for FMCG suppliers.

3. Literature & Context

Existing research in corporate finance suggests that efficient working capital management — particularly a shorter cash conversion cycle — is associated with improved firm profitability. Deloof (2003) finds that Belgian firms with shorter cash conversion cycles tend to be more profitable, since less capital stays tied up in inventory and receivables.

Building on this, Lazaridis and Tryfonidis (2006) report a similar inverse relationship between cash conversion cycle length and gross operating profitability among firms listed on the Athens Stock Exchange, reinforcing that the finding is not specific to one market.

In the Indian context specifically, Bagchi and Khamrui (2012) examine the relationship between working capital management and profitability among Indian FMCG firms and find a similar negative association between cash conversion cycle and profitability. Case-based analyses of individual Indian FMCG companies (e.g., ITC Ltd.) have looked at how working capital components — inventory turnover, receivables, and payables — influence profitability, generally reinforcing that efficient working capital cycles matter for financial performance in this sector.

On the demand-side and channel-shift literature, studies of omnichannel and e-commerce adoption in retail (e.g., Verhoef, Kannan, and Inman, 2015, on multi-channel retailing) discuss how new distribution channels can alter cost structures, inventory strategy, and margin composition for consumer goods firms, without necessarily improving overall profitability in the short run. This literature is largely qualitative or survey-based rather than financial-statement-driven, which is the gap this project addresses.

From an industry perspective, recent reporting (2025–2026) — including the Bain & Company / Flipkart "How India Shops Online" report cited in Section 1.3 — documents the scale of quick commerce's rise in Indian e-grocery and notes rising platform costs, advertising spend, and margin pressure in some categories as areas FMCG companies themselves have flagged in investor commentary. These are industry claims, not this project's findings, and are treated as context to be checked against, not assumed.

Gap addressed by this project:

Most existing work is either a theoretical or single-company analysis of working capital, or qualitative industry commentary on quick commerce — rarely both together. This project combines the two: a multi-company, data-driven analysis of working capital, profitability, and returns, read alongside what the companies themselves disclosed about channel and distribution strategy during the same period.

4. Key Caveats & Limitations

- Consistent signature, limited attribution: this study identifies a consistent financial signature that coincides with the rise of quick commerce, while acknowledging the limits of attribution — it does not establish that quick commerce caused any change it finds. It checks whether financial metrics moved during the quick-commerce acceleration window and looks at company disclosures for plausible explanations, keeping the two clearly separate throughout the discussion.
 - Small sample per period: three pre-period and two primary post-period fiscal years per company means all comparisons are descriptive, not statistically tested.
 - FY2023 sensitivity: because FY2023 is a transition year, the main conclusion is checked under both the FY2020–22 vs FY2024–25 framing and a FY2020–22 vs FY2023–25 framing.
 - No direct channel-level data: consolidated financial statements do not isolate quick-commerce sales specifically, so findings are reported at the whole-company level, not attributed to a specific sales channel.
 - Confounding factors: input-cost inflation, COVID-19 disruption (FY2020–21), category mix shifts, and company-specific events (acquisitions, exceptional items) all affect the same period and are documented in Section 2.5 rather than controlled for statistically.

5. Expected Contribution

- Comparative analysis across multiple FMCG firms rather than a single-company case study.
- Quantitative evaluation of a major industry trend using working capital, profitability, and returns metrics together, on a consistent average-balance basis.
- Integration of financial data with strategic/business context from company disclosures and a documented confounder timeline.

Rather than aiming to show that quick commerce is uniformly good or bad for FMCG profitability, this project expects the more useful finding to be that its association with financial performance differs by company — depending on product mix, distribution model, and working capital structure — which is a more realistic picture of how a single industry shift plays out across firms.

6. Implementation & Deliverables

Implementation

- Python (pandas, NumPy, matplotlib)
- Structured, source-referenced dataset and reproducible analysis

Deliverables

1. Clean, sourced dataset with per-observation citations (FY2020–FY2025)
2. Python-based analysis, including the FY2023 sensitivity check
3. Visualizations (six decision-useful charts)
4. Research paper, with limitations section
5. Final presentation

7. Repository Structure

Full source data, Excel model, Python scripts, computed outputs, and the final presentation are available at:

<https://drive.google.com/drive/folders/1eotSMr8zxaIHkZh3JdXa7ydbe2AzSCg3>

```
quick-commerce-fmcbg-capstone/  
  data/  
    raw_sourced_table.csv  
    data_dictionary.csv  
  notebooks/  
  src/  
  outputs/  
  report/  
  requirements.txt  
  README.md
```


AI Use Disclosure

Consistent with cohort guidelines on responsible AI use, this section discloses where AI tools were used in producing this capstone.

The initial research proposal (Section 1's framework and structure) was drafted by Claude (Anthropic) based on the author's chosen topic, direction, and specified structure, under time constraints and with the instructor's approval to use AI for this purpose. All data was sourced directly by the author from the companies' consolidated annual reports, and all working-capital, margin, and return ratios were first calculated by the author in Excel. Claude was then used, under the author's direction, to write the Python scripts (`compute_metrics.py`, `make_charts.py`) that independently recompute these ratios as a cross-check against the Excel calculations, and to generate the accompanying charts. The topic selection, data collection, Excel-based calculations, interpretation of results, and qualitative cross-check against company disclosures (Section 10) are the author's own work throughout. AI was directed by the author at every step; no results were fabricated or generated independently by AI.

8. Results

All figures below are computed from the verified consolidated dataset (FY2019 used only for opening balances) using the definitions in Sections 2.1–2.2: average-balance stock ratios, project-defined COGS and EBITDA, net profit attributable to owners, and PBEIT rather than reported PBT wherever exceptional items intervene. The primary comparison is the FY2020–22 pre-period average against the FY2024–25 post-period average, with FY2023 held out as the transition year; percentage-point shifts are abbreviated "pp". Interpretation throughout is descriptive and associative, read against the confounder timeline in Section 2.5 — none of the shifts below is attributed causally to quick commerce.

Metric	Marico Pre	Marico Post	Δ	Dabur Pre	Dabur Post	Δ	HUL Pre	HUL Post	Δ
CCC (days)	42.8	24.0	–18.8	16.7	2.9	–13.8	–69.9	–57.2	+12.7
DIO (days)	109.4	92.8	–16.7	116.6	115.5	–1.0	53.4	50.5	–2.8
DSO (days)	22.4	39.4	+17.0	27.0	25.8	–1.2	12.9	18.8	+5.9
DPO (days)	89.0	108.1	+19.1	126.9	138.5	+11.6	136.2	126.6	–9.7
Gross Margin	46.2%	50.5%	+4.3pp	49.5%	48.0%	–1.5pp	52.6%	51.7%	–0.9pp
EBITDA Margin	19.2%	20.4%	+1.2pp	20.7%	18.9%	–1.8pp	24.7%	23.6%	–1.1pp
Net Margin	13.8%	15.2%	+1.4pp	16.8%	14.5%	–2.3pp	17.0%	16.7%	–0.2pp
ROCE	42.9%	37.7%	–5.2pp	24.1%	17.5%	–6.6pp	45.4%	21.1%	–24.3pp
ROA	21.6%	20.6%	–1.0pp	16.0%	12.0%	–4.0pp	21.8%	13.5%	–8.3pp
Revenue Growth	9.3%	5.5%	–3.8pp	8.6%	4.4%	–4.2pp	10.3%	2.1%	–8.2pp

Table 8.1 — Pre-period (FY2020–22 avg.) vs post-period (FY2024–25 avg.) values per metric. Δ is post minus pre. Values are independently rounded; Δ is computed on unrounded figures, so displayed pre/post values may differ from Δ by 0.1 in the last digit.

8.1 Working capital: three different stories, one common thread

The headline finding of the working-capital analysis is divergence, not convergence. All three companies operate in the same channel environment, yet their cash conversion cycles moved in different directions and for different reasons between the pre- and post-periods.

Marico compressed its CCC from a pre-period average of 42.8 days to 24.0 days (–18.8 days, –44%), but the composition of that compression matters more than the total. DIO fell 16.7 days (109.4 → 92.8), consistent with a leaner inventory pipeline, and DPO lengthened 19.1 days (89.0 → 108.1), meaning suppliers financed more of the cycle. Working against both, DSO rose sharply from 22.4 to 39.4 days (+17.0 days, +75.6%). A rising receivables cycle is directionally what one would expect from a shift in channel mix away from cash-and-carry general trade toward organised channels — modern trade, e-commerce and quick-commerce platforms buy on credit terms — and it is also consistent with Marico's own disclosure of Project SETU, which restructured distributor and wholesale inventory holding from FY2025 (Section 10). It is equally consistent, however, with the growing weight of the international and foods businesses, so the channel-mix reading is plausible rather than proven.

Dabur shows the least working-capital movement of the three on the inputs and the most striking movement on the output. DIO (–1.0 day) and DSO (–1.2 days) were essentially flat pre-to-post — Dabur's inventory sits structurally around 112–119 days, the heaviest of the trio, reflecting its ayurvedic/naturals input chain. Yet its CCC still fell from 16.7 to 2.9 days (–13.8), and in FY2025 alone turned negative (–2.0 days) for the first time in the study window. The compression was predominantly payables-driven: DIO and DSO moved only marginally, while DPO stretched from a 126.9-day pre-period average to 138.5 days post-period, reaching 146.5 days in FY2025. In other words, Dabur's post-period cash cycle improvement is supplier-financed rather than

operations-driven — a materially different mechanism from Marico's, and one that says more about bargaining power over vendors than about channel efficiency.

HUL is the outlier in direction. Its CCC was deeply negative throughout — the signature of a scale FMCG whose suppliers fund its float — but it became less negative, moving from -69.9 to -57.2 days ($+12.7$). Two components drove this: DSO fell slightly in FY2021 before rising every year from FY2022 through FY2025, climbing from 12.9 pre-period to 19.7 days in FY2025 ($+5.9$ pre-to-post), and DPO shortened by 9.7 days. This sustained DSO climb since FY2022 is the single cleanest channel-mix signature in the entire dataset: as organised and platform channels (which carry receivables) grow inside a revenue base historically dominated by distributor cash sales, receivable days drift upward mechanically. HUL's own disclosure that e-commerce reached 7–8% of sales with quick commerce its fastest-growing component (Section 10) aligns with this pattern. The DPO shortening is harder to read and coincides with FY2023's commodity-cost spike, when payables terms industry-wide tightened; notably HUL's DPO trough is FY2023 (107.3 days) and it has been rebuilding since.

The common thread across all three companies is the receivables direction for the two with the largest urban and premium exposure (Marico, HUL): DSO rose into the post-period, which is the working-capital fingerprint organised-channel growth would leave. Dabur, whose FY2025 commentary emphasised pressure in general trade and a distributor-inventory correction, shows the effect on the payables side instead. What none of the companies shows is the inventory build-up that a naive "quick commerce forces more forward inventory" hypothesis might predict — DIO fell or held flat everywhere, against a backdrop (Section 2.5) of post-pandemic supply-chain normalisation that would also push the same way. To size the receivables shift in rupee terms: cash tied up $\approx (\Delta\text{DSO} \div 365) \times \text{FY2025 revenue}$, giving roughly ₹504 cr at Marico ($(16.974 \div 365) \times ₹10,831$ cr) and roughly ₹1,018 cr at HUL ($(5.884 \div 365) \times ₹63,121$ cr), computed on the unrounded DSO shifts; at an illustrative 11% cost of capital — a modelling assumption, not a disclosed figure — this implies annual carrying costs of about ₹55 cr and ₹112 cr respectively (see also Slide 10 of the accompanying presentation).

Chart 1 — Working Capital Cycle: DIO, DSO, DPO (lines) and CCC (bars), FY2020-FY2025
Shading: pre-period (blue) | FY23 transition (orange) | post-period (green). Average-balance basis.

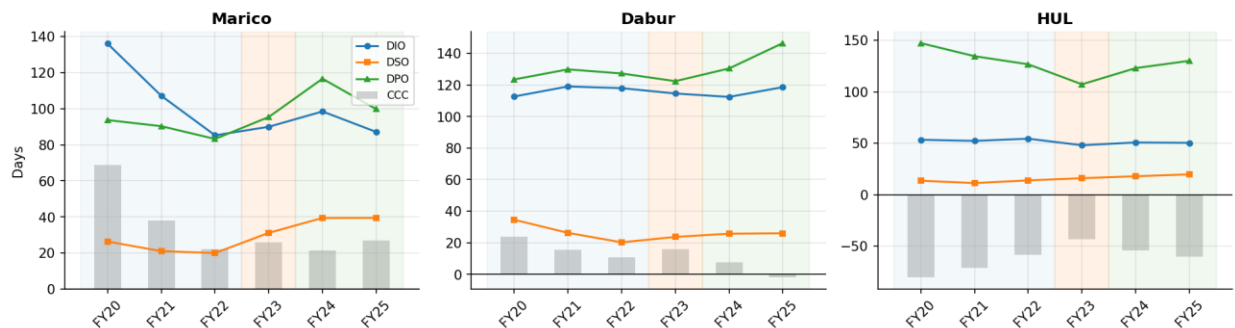


Chart 1 — Working capital cycle components per company. Shading: pre-period / FY23 transition / post-period.

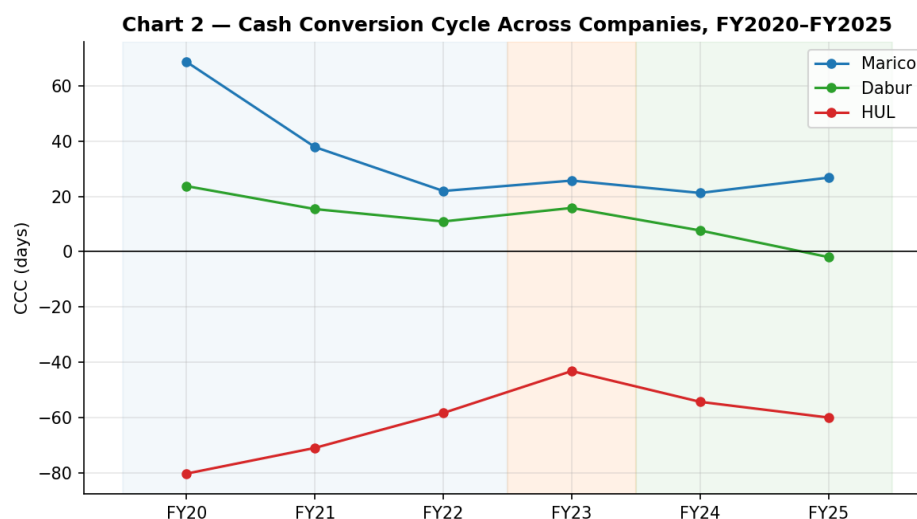


Chart 2 — Cash conversion cycle across companies, FY2020–FY2025.

8.2 Margins: Marico expands, Dabur compresses, HUL holds

Profitability again splits three ways. Marico is the only company whose margins are higher in the post-period on every measure: gross margin +4.3pp (46.2% → 50.5%), EBITDA margin +1.2pp (19.2% → 20.4%) and net margin +1.4pp (13.8% → 15.2%). The gross-margin gain is dominated by FY2024 (50.8%), a year Marico itself attributed to soft copra and vegetable-oil input costs plus structural margin expansion in Foods; FY2025 gross margin then gave back ground within the year as copra inflation returned (Section 10). The pre-period trough (FY2022 gross margin of 42.9%) coincides with the commodity-inflation year flagged in the Section 2.5 timeline, so part of the pre-to-post improvement is simply the pre-period being cost-depressed — a confounder that cuts against reading the margin gain as channel-driven.

Dabur moved the other way on every profitability line: gross margin –1.5pp, EBITDA margin –1.8pp (20.7% → 18.9%), net margin –2.3pp (16.8% → 14.5%). Its net margin fell in three of the five years across the window, declining from a FY2021 peak of 17.7% to 14.1% in FY2025, with only a marginal uptick in FY2024 (14.9%) that did not reverse the overall decline. Rising finance costs (₹30.8 cr in FY2021 to ₹163.5 cr in FY2025) and D&A, higher advertising spend, and the FY2025 urban-demand slowdown the company repeatedly cited all sit inside this deterioration. Nothing in Dabur's margin trajectory requires a quick-commerce explanation, and the company's own commentary points first to food inflation, urban softness and general-trade destocking.

HUL's margins were the most stable of the three: EBITDA margin eased 1.1pp from a high base (24.7% → 23.6%) and net margin was essentially flat (–0.2pp). For a company of HUL's scale, margin stability through a period of channel disruption, a major portfolio reshaping and an input-cost cycle is itself the finding: whatever incremental costs organised-channel growth imposed (assortment investment, platform terms), they were absorbed rather than visible at the consolidated margin line.

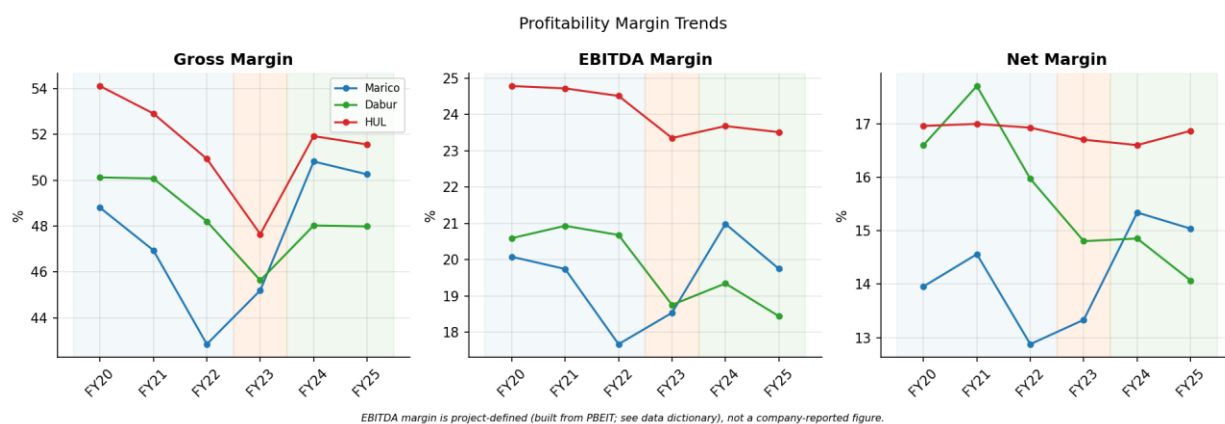


Chart 3 — Gross, EBITDA and net margin trends, FY2020–FY2025.

8.3 Returns and growth: broad-based decline, with one large accounting confounder

ROCE and ROA fell pre-to-post at all three companies — the only metric family where direction is unanimous. Marico's ROCE eased from 42.9% to 37.7% (−5.2pp) with ROA broadly flat (−1.0pp); its returns remain the highest of the trio because its capital base is the lightest. Dabur's ROCE fell from 24.1% to 17.5% (−6.6pp) and ROA from 16.0% to 12.0% (−4.0pp), a genuine efficiency deterioration: its capital employed grew 45.8% (₹7,922 cr pre-period → ₹11,553 cr post-period, period averages of year-end capital employed; the ROCE denominator itself uses the average-balance series defined in Section 2.2, on which the increase is similar) while EBIT grew only 8.9% (₹1,778 cr → ₹1,936 cr).

HUL's reported collapse — ROCE −24.3pp, ROA −8.3pp — must not be read at face value. The FY2021 balance sheet consolidates the GSK Consumer Healthcare merger, adding ₹17,316 cr of goodwill and ₹27,930 cr of other intangibles and lifting total assets from ₹20,153 cr to ₹68,757 cr in a single year. The FY2020 ROCE of 85.2% is computed on the small pre-merger capital base and sits inside the pre-period average, mechanically inflating it. Excluding FY2020, HUL's ROCE is remarkably stable at 20–22% from FY2022 through FY2025 — the honest reading is "step-change down at the merger, flat since", not a post-period deterioration. This is the single largest confounder in the dataset and is flagged accordingly (see also Section 4 limitations).

Revenue growth decelerated everywhere: Marico from a 9.3% pre-period average to 5.5%, Dabur 8.6% → 4.4%, HUL 10.3% → 2.1%. Here the confounder timeline does most of the explanatory work. The pre-period averages embed the FY2021–22 pandemic pantry-loading and price-led rebound years, while FY2024–25 saw urban demand softness and price deflation in several categories, both flagged in company commentary. Notably, the deceleration is steepest at HUL, the company with the largest urban salience, and mildest at Marico, which re-accelerated to 12.2% in FY2025 on pricing and its Foods/digital-first scale-up. A channel-disruption reading (quick commerce intensifying price competition and fragmenting urban demand) is compatible with this ordering but so is a plain demand-cycle reading; the data cannot separate the two.

As a measurement sensitivity, recomputing revenue growth geometrically (CAGR over each period: FY2019→FY2022 for the pre-period, FY2023→FY2025 for the post-period) rather than as the arithmetic mean of year-on-year rates changes nothing of substance: Marico 9.1% → 5.3% (arithmetic 9.3% → 5.5%), Dabur 8.5% → 4.4% (8.6% → 4.4%), HUL 10.1% → 2.1% (10.3% → 2.1%). The largest arithmetic-vs-geometric gap in any cell is 0.3 percentage points, every deceleration and its cross-company ordering is preserved, and under the FY2023–25 sensitivity window the geometric figures likewise keep all signs (Marico 4.4%, Dabur 4.9%, HUL 6.4%). Arithmetic period averages are retained as the primary measure for consistency with the other period-averaged metrics in Table 8.1; the geometric check is reproducible via `outputs/revenue_growth_cagr_check.csv`.

Return Metrics — HUL FY20 flagged: GSK-CH merger structural break (not a quick-commerce effect)

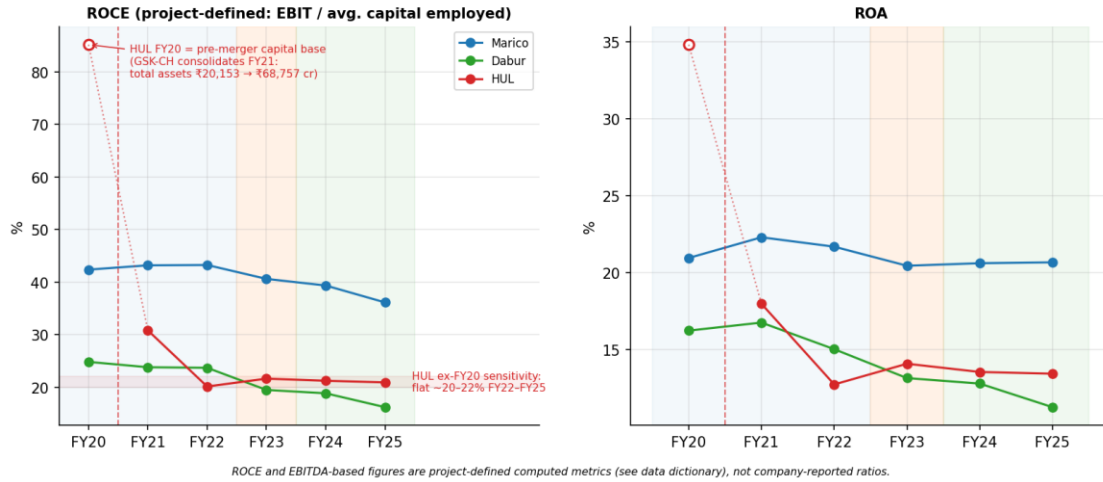


Chart 4 — ROCE (project-defined) and ROA, FY2020–FY2025. The HUL FY2020 point is flagged on the chart as a pre-GSK-CH-merger capital-base artefact (structural break at FY2021), with the ex-FY20 sensitivity band (HUL ROCE flat at ~20–22% from FY2022) drawn directly on the panel.

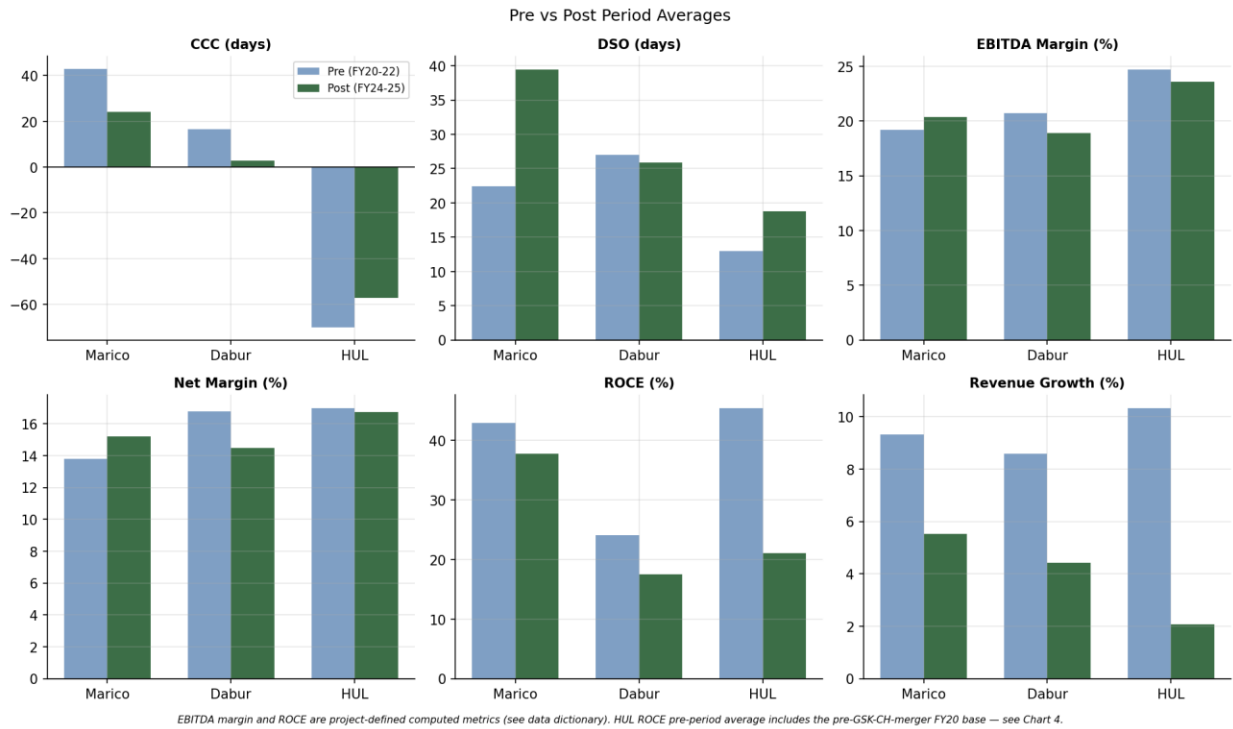


Chart 5 — Pre vs post period averages across six key metrics.

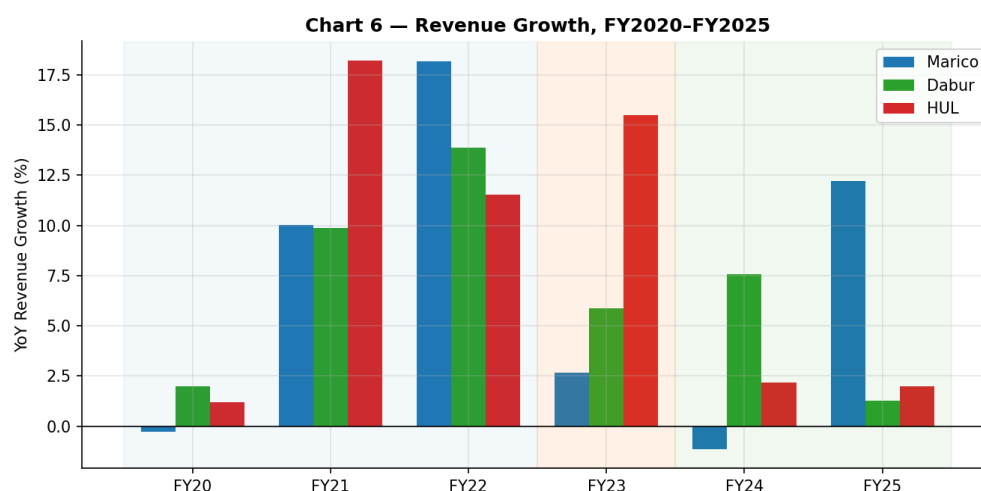


Chart 6 — Year-on-year revenue growth.

8.4 Reading the results against the Section 2.5 confounder timeline

Mapping each observed shift onto the year-by-year timeline: (i) the pre-period contains COVID-19 disruption (FY2020–21) and the pantry-loading demand spike (FY2021), which inflate pre-period revenue growth and depress FY2022 margins via input costs — both bias the pre-vs-post comparison independently of any channel change; (ii) FY2023, the transition year, carries the peak of retail input-cost inflation, visible as the gross-margin trough for Dabur (45.6%) and HUL (47.6%) and the DPO trough for HUL; (iii) the post-period combines easing input costs (helping Marico's FY2024 margins) with urban demand softness (hurting Dabur and HUL revenue) and renewed copra inflation for Marico in FY2025; (iv) company-specific events — HUL's GSK-CH merger (FY2021 balance sheet), its Minimalist acquisition (FY2025), Marico's D2C acquisitions, Dabur's Sesa Care stake and Badshah consolidation — all move the asset and margin lines for reasons unrelated to distribution channels. Against this backdrop, the shifts that survive as candidates for a channel-mix association are precisely the ones the confounders do not readily explain: the monotonic DSO rise at HUL and Marico, and the payables-financed CCC compression at Dabur. The margin, returns and growth shifts are all over-determined by the confounder set.

Answering the research question as posed: yes, measurable changes in working capital and profitability coincided with the quick-commerce acceleration window, but the three companies did not move together — Marico improved on margins and cycle, Dabur deteriorated on margins while compressing its cycle through payables, and HUL held margins while its famously negative cycle shortened. This heterogeneity is itself the expected contribution anticipated in Section 5: a single industry shift playing out differently across product mixes, channel exposures and working-capital structures.

9. FY2023 Sensitivity Analysis

Because FY2023 (April 2022–March 2023) straddles the quick-commerce scale-up, the main comparison excludes it. The sensitivity check reclassifies FY2023 into the post-period, comparing FY2020–22 against FY2023–25. The test of robustness is whether any pre-to-post shift changes sign or materially changes magnitude under the alternative framing.

Direction is preserved for every metric at every company — no sign flips anywhere in the thirty metric-company cells. Magnitudes shift in an informative pattern. Shifts that shrink when FY2023 joins the post-period: Dabur's CCC compression roughly one-third smaller ($-13.8 \rightarrow -9.5$ days, because the FY2025 DPO stretch gets diluted); Marico's gross-margin gain nearly halves ($+4.3\text{pp} \rightarrow +2.6\text{pp}$) and its EBITDA/net-margin gains halve, since FY2023 carries the inflation trough; Marico's DSO increase moderates ($+17.0 \rightarrow +14.2$ days). Shifts that grow: HUL's CCC increase widens ($+12.7 \rightarrow +17.4$ days) because FY2023 is HUL's least-negative CCC year, and its DPO decline deepens ($-9.7 \rightarrow -16.1$ days). HUL's revenue-growth deceleration more than halves ($-8.2\text{pp} \rightarrow -3.8\text{pp}$) because FY2023's 15.5% growth — the strongest single year in the dataset — moves into the post-period.

The conclusion is therefore framing-robust in direction and framing-sensitive in emphasis: under the FY2023–25 framing, Marico's margin improvement looks more modest, Dabur's cycle compression looks more modest, and HUL's growth deceleration looks far less dramatic. The headline finding — divergent company-level responses, with rising DSO at Marico/HUL and payables-driven compression at Dabur — stands under both classifications. This is exactly the outcome the study design in Section 2.4 anticipated: a transition year that softens contrasts without reversing them.

10. Qualitative Cross-Check Against Company Disclosures

This section reads the quantitative findings against what the three companies themselves said about channel mix and quick commerce in investor materials and earnings calls during the post-period. These statements provide plausible — never causal — explanations, and each is attributed to its disclosure context.

Marico. Management has been explicit that quick commerce is a deliberate, differentiated bet: CEO Saugata Gupta described building channel-specific price-pack architecture and test-marketing products designed for the format to limit cannibalisation of other channels, characterising the quick-commerce shopper as less price-sensitive and convenience-seeking. Marico's digital-first portfolio exited FY2025 at a ₹750 crore annualised run-rate, ahead of its own aspiration, and its FY2025 updates describe Project SETU — a direct-reach expansion accompanied by deliberate wholesale-channel destocking and distributor stock-level adjustment. Both disclosures line up with the numbers: destocking and direct reach are consistent with the 16.7-day DIO reduction, while the growing weight of organised, credit-bearing channels is consistent with the DSO doubling. The FY2025 margin give-back matches management's attribution to ~48% copra inflation, with A&P spend up 18% for the year — a reminder that input costs, not channels, dominated the margin line.

Dabur. Dabur's disclosures are the closest to a channel-disruption narrative. Through FY2025 the company repeatedly contrasted strong growth in "alternative channels" — modern trade, e-commerce and quick commerce — with persistent pressure in general trade (kirana), and in Q2 FY2025 it took an explicit general-trade distributor-inventory correction that dented reported revenue by design. Management subsequently disclosed that quick commerce's salience within its e-commerce business rose sharply — to roughly half and then ~70–75% of e-commerce by early FY2026. The financials mirror the strain of that transition rather than its payoff: FY2025 India revenue declined, urban slowdown and food inflation were cited on successive calls, and the margin lines compressed. The one unambiguous balance-sheet consequence — the FY2025 DPO stretch to 146.5 days and the

first negative CCC in the window — is not something management narrates directly, but it is consistent with a company defending cash conversion through supplier terms while its front-end channel economics reset.

HUL. HUL frames quick commerce as a structural convenience channel it intends to win: management disclosed that e-commerce reached roughly 7–8% of sales with quick commerce its fastest-growing component (about one-sixth of e-commerce in 2024, having grown ~77% in 2023 — several times overall e-commerce growth), that it doubled assortment investments to serve omnichannel demand, and later characterised the channel as "structurally attractive" while growing 40–50%. Portfolio actions point the same way — the ₹2,706 crore Minimalist acquisition explicitly targeted digital-first beauty. The quantitative fingerprints match in the one place they should: DSO rising every year as platform receivables grow inside the mix, while consolidated margins barely moved, consistent with a company absorbing channel-transition costs at scale. The returns decline, as Section 8.3 establishes, is dominated by the GSK-CH merger accounting and tells us little about channels.

Taken together, the disclosures support a consistent, modest reading: all three companies confirm that quick commerce became a materially larger share of their channel mix during the post-period; the balance-sheet traces of that shift are visible mainly in receivables (Marico, HUL) and payables management (Dabur); and every company attributes its margin movements primarily to input costs and demand conditions rather than to the channel itself. Together, this evidence points to a consistent financial signature that coincides with the rise of quick commerce, while acknowledging the limits of attribution. In this dataset, the quick-commerce period is not associated with faster revenue growth; it is associated with a shift in who holds the cash — and each company appears to handle that shift differently.

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